

1 ENGROSSED SENATE
2 BILL NO. 1530

By: Thompson of the Senate

3 and

4 Moore of the House

5
6 An Act relating to state government; amending Section
7 1, Chapter 348, O.S.L. 2025 (74 O.S. Supp. 2025,
8 Section 5091), which relates to the Oklahoma Research
9 and Development Rebate Fund; modifying definitions;
10 authorizing increase in certain rebate amount under
11 specified condition; modifying certain rule
12 promulgation authority; imposing certain duties on
13 the Oklahoma Department of Commerce; updating
14 statutory references; and providing an effective
15 date.

16 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

17 SECTION 1. AMENDATORY Section 1, Chapter 348, O.S.L.
18 2025 (74 O.S. Supp. 2025, Section 5091), is amended to read as
19 follows:

20 Section 5091. A. As used in this section:

21 1. "Qualified research expenditures" means ~~the amount of~~
22 ~~qualified research expenses claimed on line 9 or line 28 of federal~~
23 ~~Form 6765 (Rev. December 2023) or the relevant line number of~~
24 ~~federal Form 6765 in effect for the applicable tax year for expenses~~
incurred in this state research and development expenses occurring
in the state that follow generally accepted accounting principles
established by the Financial Accounting Standards Board; and

1 2. "Research and development" has the same meaning as defined
2 by the Financial Accounting Standards Board in the Accounting
3 Standards Codification. Research and development does not include:

- 4 a. routine product testing or quality control,
- 5 b. management or market research,
- 6 c. literary or artistic projects including films or
7 publications,
- 8 d. exploration for natural resources,
- 9 e. software or computer systems integration, or
- 10 f. application of existing knowledge and processes to
11 architectural or civil engineering projects.

12 B. There is hereby created in the State Treasury a revolving
13 fund for the Oklahoma Department of Commerce to be designated the
14 "Oklahoma Research and Development Rebate Fund". The fund shall be
15 a continuing fund, not subject to fiscal year limitations, and shall
16 consist of all monies appropriated to the Department that are
17 designated for deposit in the fund. Monies appropriated to this
18 fund shall be expended to reimburse qualifying establishments for
19 qualified research expenditures.

20 C. There is hereby created a research and development rebate
21 program for the cost of qualified research expenditures by
22 establishments.

23 D. The investment rebate program shall be administered by the
24 Oklahoma Department of Commerce.

1 E. To be eligible for consideration for a research and
2 development rebate payment awarded under the provisions of this ~~act~~
3 section, the establishment shall:

4 1. Submit an application and documentation to the Department,
5 as required by the Department;

6 2. Provide documentation as required by the Department to
7 determine that the research and development expenditures occurred
8 within this state; and

9 3. Have filed all Oklahoma tax returns as required by law.

10 F. Claims for rebate approved by the Department shall be equal
11 to five percent (5%) of qualified research expenditures of the
12 establishment. A rebate amount may increase by two percent (2%)
13 when the establishment partners with an institution of higher
14 education in the state.

15 G. Claims for rebate approved by the Department shall be paid
16 in the order that they are received. Total claims approved for
17 rebate shall not exceed the balance of the Oklahoma Research and
18 Development Rebate Fund. In no event shall claims approved for
19 rebate exceed Twenty Million Dollars (\$20,000,000.00) in any fiscal
20 year.

21 H. If the amount of a claim exceeds the amount available in the
22 Oklahoma Research and Development Rebate Fund or the fiscal year
23 limitation provided in subsection G of this section, the payment may
24 be made in a prorated amount. Claims for rebate not approved by the

1 Department due to the limitations provided in subsection G of this
2 section may be approved and paid in subsequent fiscal years.

3 I. The Oklahoma Department of Commerce ~~may~~ shall promulgate
4 rules to effectuate the provisions of this section, including an
5 annual application process.

6 J. The Department shall be the determiner for qualification of
7 expenses and activities associated with the research and development
8 rebate.

9 K. The Department shall annually publish on its website
10 information detailing the return on investment of this rebate to the
11 state, including, but not limited to, establishments receiving the
12 rebate, the project, the industry of the establishment, and
13 institution of higher education information partnered with the
14 establishment if applicable.

15 SECTION 2. This act shall become effective November 1, 2026.
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1 Passed the Senate the 11th day of March, 2026.

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3 _____
4 Presiding Officer of the Senate

5 Passed the House of Representatives the ____ day of _____,
6 2026.

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9 Presiding Officer of the House
10 of Representatives